

How to Use Your Seller-Finance Offer Calculator

SKU ACQ-010 • SELLER-FINANCE OFFER CALCULATOR

What this workbook does

Models seller-finance acquisition terms. Computes monthly payment, total cost over loan life, cash flow vs conventional, and a side-by-side "your offer vs conventional 25%-down" comparison.

Generates a draft term sheet for the seller. Solves: "what does this seller-finance deal *really* cost me vs going to a bank?"

First-time setup (10 min)

1. Open tab **Conventional Baseline** — 25%-down conventional terms (price, rate, term, monthly P&I).
2. Tab **Seller-Finance Inputs** — proposed terms: down payment, interest rate, amortization period, balloon (if any), term.
3. Tab **Stabilized Cash Flow** — projected revenue + expenses (pull from ACQ-001 if you have it).

Reading the outputs

- **Side-by-Side Compare:** seller-finance vs conventional — monthly payment, total interest paid, cash flow, year-1 IRR
- **Total Cost Over Loan Life:** seller-finance often costs 5-15% MORE in total interest (longer terms, higher rates) but saves on closing costs and qualification friction
- **Cash-Flow Delta:** seller-finance can flip a deal from negative-cash-flow (under conventional) to positive-cash-flow if the seller accepts a lower rate
- **Balloon Risk Flag:** if the deal has a balloon, the workbook surfaces the refi-risk year

When seller-finance wins

- Seller wants out faster than the market is moving
- You can't qualify for conventional (DSCR too low, self-employed, cash-flow ramp time)
- Seller is willing to take 5-6% interest where conventional is 7-8%
- You need flexibility on amortization (interest-only first 2-3 years to ramp)

When seller-finance loses

- Seller demands above-market rate ("but I'm taking the risk")
- Balloon date arrives and rates haven't dropped + your DSCR isn't refi-ready
- Total interest paid > equity gained over hold period

Generate the term sheet

The Term Sheet tab outputs a draft you can hand to the seller (or the seller's attorney) to start negotiations. Includes purchase price, down, rate, amortization, term, balloon if any, and standard contingencies. Customize for your jurisdiction before signing — this is a starting draft, not a final contract.

Questions?

hello@thestrledger.com — real humans, fast replies.

Pair with: ACQ-001 STR Deal Analyzer (year-1 underwriting on the property), ACQ-008 5-Year Pro Forma (long-horizon comparison vs. conventional financing), FIN-004 DSCR Tracker (post-acquisition DSCR for any future refi).